

"That's what I'd be doing myself if I had any money." Specifically, he suggested the March 225 S&P-100 call options. I didn't know what that meant, but of all the opportunities that had come my way since Angstrom, this one had the greatest appeal. I made a note of Useful Tip Number 12:

**The more befuddled the investor, the more
absolute certainty he'll demand from his advisor**

I didn't check with Dan Dorfman, and I didn't check Mr. Crawford's clippings. As soon as Mr. Crawford left the restaurant I rushed outside to the pay phone and called my broker, Ms. Garrett, long-distance.

"Buy the March 225 S&P-100 call option," I said, repeating it exactly as I'd written it down.

"How many?"

"How many? I don't know how many. How much are they?"

"Let me check. They are trading for a little less than 1½. That means about \$125 to \$150 apiece."

"I'll take five of them."

There was no cash available in my Prudential-Bache account, since the balance of my assets was still held in the savings/checking account at my S&L back home. I rode the bus to the nearest New York branch office and gave Prudential-Bache a personal check for \$777.16, the exact amount of my purchase. Then I did some research, to try and figure out what I'd bought.

What I'd bought was called a stock-index option. These delightful investments were only five years old, having been invented in Chicago in the early 1980s. They were not exactly the same as the dreaded options on individual stocks I mentioned earlier, or else I would have had nothing to do with them.

While options on individual stocks made it possible to speculate on sudden price movements of some specific issue—i.e. IBM—the stock-index options enabled the investor to speculate on the larger market, by betting on one of the popular stock indexes. As the Standard and Poors-100 Index was a collective measure of the